

**Tamweel Aloula Financing Company
KSA**

FSD – SERVICING MODULE

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Document History

Author	Version	Date	Description
Farhan Ullah Khan	V1.0	12/05/2025	FSD
Affan Anjum	V1.0	12/05/2025	FSD
Wahab Zafar	V1.0	13/05/2025	Updated Customer Info
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1. Scope of the Document

This document is designed to provide user with end-to-end functionality of servicing activities such as Customer Details, Early Settlement, Partial Settlement, Cancellation, Ad-Hoc Charges, Top-up, Restructure, Buy-out and Loan Transfer. This document outlines the key components and processes that contribute to the servicing module, offering clarity on the rules and guidelines that will govern how different activities to be performed.

2. Navigation Tips



This button refers to 'Validate' a record on T24. It is placed on top of the screen while input of any transaction on T24. After filling out all mandatory and necessary information, user can press this button to check for core errors or any missing component on the record.



This button refers to 'Commit' a record on T24. This button is pressed to make the record part of T24.



This button is used to 'Delete' the record. (Only unauthorized records can be deleted from the system)



This button is used to 'Authorize' the record. Only upon Authorization marking the record is made the part of LIVE file.



This Button is used to put the record on 'Hold'.

3. Glossary

Abbreviations	Description
CBS	Core Banking System
BRD	Business Requirement Document
BPR	Business Process Review
WS	Workstream
LOS	Infinity or new digital

LMS	Transact
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4. Servicing Module

This Section provides a clear understanding of how various maintenance activities will be carried out into the system originating from frontend. It outlines the methodology to be followed to execute below maintenance activities.

- Financial Dashboard
- Change Customer Info
- Early Settlement
- Partial Settlement
- Top-up Facility – Tawarruq Only
- Restructure
- Loan Transfer – Ijarah Only
- Buy-Out Facility – Tawarruq Only
- Cancellation – Post Disbursement
- Ad-Hoc Charges

A local ref needs to be updated in SMB.DEAL.DETAILS, IS.VEHICLE, IS.CONTRACT and AA.PR.DES.ACCOUNT with the name of “Loan Status” with LOV’s of “Top-up / Restructure / Loan Transfer / Buy Out”. Based on ND request this fields will be updated accordingly for the new loan arrangement. Further two local ref will be added in SMB.DEAL.DETAILS with name of SMB.ACTIVITY.TYPE and SMB.TYPE.FEE which will be updated through an API upon successful submission request, based on this installment bill generation will be suspended for this loan arrangement and SMB.TYPE.FEE will be upcoming three months profit amount. If request will be declined for any reason, then another API will trigger that update the filed SMB.ACTIVITY.TYPE as blank which will recontinue the bill generation process.

In case of Top-up / Restructure / Loan Transfer, where profit accrual being stopped by updating the profit rate as zero, a local ref is required to be added to capture activity reference ID in SMB.DEAL.DETAILS, which will be utilize to reverse the activity in case of request rejected by Credit operation, Offer, Contract or IVR rejection by customer. Moreover old contract reference to be captured in a local ref SMB.OLD.CONTRACT in SMB.DEAL.DETAILS template.

Further LOV’s of field SMB.ACTIVITY.TYPE needs to be updated with the values of “Top-up / Loan Transfer” along with LOV’s as stated in section 7.8.1 of Tawarruq FSD.

A new template will be created, once the request for “Top-up/Loan Transfer/Restructure” facility is received at transact. The ID of this template will be old arrangement reference followed by request type. It will carry all the relevant information pertaining to old arrangement along with new arrangement.

4.1 Financial Dashboard

a. Requirement

Once the customer logs in the digital channel customer can view its Demographic & Active contracts, the user will click on the contract no and all the details will be visible to him as per the contracts.

Proposed Solution

An API-1(Customer Info) needs to be exposed to ND through which it will extract the Static Information of Customer from core system as per below table,

Field	Application	Mapping
Name	Customer	CUSTOMER>NAME.1
ID No	Customer	CUSTOMER>LEGAL.ID
Id Expiry date	Customer	CUSTOMER>LEGAL.EXP.DATE
Address	Customer	CUSTOMER>BUILDING.NAME CUSTOMER>BUILDING.NUMBER CUSTOMER>STREET CUSTOMER>TOWN.LOCATION.NAME
Phone NO	Customer	CUSTOMER>Phone.1
Email	Customer	CUSTOMER>EMAIL.1
Gender	Customer	CUSTOMER>GENDER
DOB	Customer	CUSTOMER>DATE.OF.BIRTH
Building-Apartment No./Villa No	Customer	CUSTOMER>BUILDING.NAME
Street Name	Customer	CUSTOMER>STREET
District	Customer	CUSTOMER>DISTRICT.NAME
Region	Customer	CUSTOMER>L.REGION
City	Customer	CUSTOMER>TOWN.LOCATION.NAME
Country	Customer	CUSTOMER>COUNTRY
Post Code	Customer	CUSTOMER>POST.CODE
Zip Code	Customer	CUSTOMER>L.A.POSTAL.CODE
Additional No	Customer	CUSTOMER>L.A.ADDITIONAL

b. Requirement

The contract detail will be visible once the user clicks on the contract no, the contract details will be fetched from Core system the data will be the next payment date, no of installment paid, current outstanding, etc.

Proposed Solution

An API-2(Dashboard) needs to be exposed to ND through which it will extract the below information from core system

Field	Application	Mapping
Sanctioned Amount	EB.CONTRACT.BALANCES	EB.CONTRACT.BALANCES>CURR.ASSET.TYPE=TOTC OMMITMENT>OPEN.BALANCE
Disbursement Amount	EB.CASH.FLOW	EB.CASHFLOW>VALUE.DATE=CASH.FLOW.DATE>CA SH.FLOW.TYPE=PRINCIPAL- ACCOUNT>CASH.FLOW.AMT

Outstanding Principal	EB.CONTRACT.BALANCES	EB.CONTRACT.BALANCES> CURR.ASSET.TYPE=SUM OF ACCOUNT PROPERTY>SUM OF DEBIT.MVMT
Sanctioned Date	EB.CASH.FLOW	EB.CASHFLOW>VALUE.DATE
EMI	EB.CASH.FLOW	EB.CASHFLOW>CASH.FLOW.DATE>CASH.FLOW.TYPE=PRINCIPAL-ACCOUNT>CASH.FLOW.AMT
Profit Rate	SMB.DEAL.DETAILS	SMB.DEAL.DETAILS>SMB.PROFIT.RATE
Tenure	SMB.DEAL.DETAILS	SMB.DEAL.DETAILS>SMB.TENURE
Principal Paid	EB.CASH.FLOW	EB.CASHFLOW>VALUE.DATE=CASH.FLOW.DATE>CASH.FLOW.TYPE=PRINCIPAL-ACCOUNT>CASH.FLOW.AMT (MINUS -) EB.CONTRACT.BALANCES> CURR.ASSET.TYPE=SUM OF ACCOUNT PROPERTY>SUM OF DEBIT.MVMT
Profit Paid	AA.ARR.INTEREST	AA.ARR.INTEREST>ACTUAL.PROFIT.AMT (MINUS -) EB.CONTRACT.BALANCES> CURR.ASSET.TYPE=SUM OF INTEREST PROPERTY>SUM OF DEBIT.MVMT
Outstanding Profit	EB.CONTRACT.BALANCES	EB.CONTRACT.BALANCES> CURR.ASSET.TYPE=SUM OF INTEREST PROPERTY>SUM OF DEBIT.MVMT
Tenure Completed	EB.CONTRACT.BALANCES	EB.CONTRACT.BALANCES>CURR.ASSET.TYPE=TOTCOMMITMENT>OPEN.BALANCE
Remaining Tenure	Calculated	Tenure – Tenure Completed
Repayment A/c. Balance	EB.CONTRACT.BALANCES	EB.CONTRACT.BALANCES>WORKING.BALANCE

4.2 Change Customer Info

Requirement

The user can change and update the Demographic detail by clicking on Update button provided in the information which needs to be update. The updated demographic detail should be visible in the core system.

Proposed Solution

To change Customer static information below process will be followed.

- Once the Customer will login to New Digital (ND) Application the static information of that particular customer will be displayed.
- If the Customer wants to update any static information for below stated fields, then New Digital application will validate the authenticity of information provided by customer through respective interface and forward the validated data to transact through an API-3(Update Customer Info) to update the customer details in Transact.
- Below are the set of fields which can be updated (List of Fields provided by Tamweel Aloula).

Field	Application
Id Expiry date	Customer
Address	Customer
Phone NO	Customer
Email	Customer
Building-Apartment No./Villa No	Customer
Street Name	Customer
District	Customer
Region	Customer
City	Customer
Country	Customer
Post Code	Customer
Additional No	Customer

4.3 Early Settlement

For early settlement of existing loan facility below process will be followed.

- 1. Initial Request:** Once the customer logs in to New Digital (ND) active loan list will be extract from transact from which he will select loan to initiate early settlement request. An API-4-(Early Settlement) will extract early settlement amount upon submission of request. A validation needs to be maintained at ND level that early settlement option will only be appear against those loan which have passed cooling period i.e. 10 days from date of disbursement.
- 2. Payoff Simulation & Bill Generation:** Upon the submission of early settlement request, a simulation triggers in transact which extract the early settlement amount, simultaneously Rosom bill for early settlement amount would be generated having expiry date of one day prior to installment due date. Same rule of pay-off invoice would be followed as stated in section 6.1.3.1 of Tawarruq FSD.
- 3. Early Payoff Initiation & Authorization:** Upon payment of early payoff amount against the Rosom bill, an OFS will be generated to transfer the funds to customer repayment account through which early payoff initiation triggers and park the transaction in hold status from where TA operations will commit and authorize transaction manually for Ijarah. However, for Tawarruq & Murabaha automated process will be followed. Accounting entries for early settlement would be the same as stated in section 6.1.4.1 of Tawarruq FSD.
- 4. Cancellation of Contract / Promissory Note:** Once early settlement transaction is successfully authorized then cancellation of contract and related promissory note will be executed accordingly for payoff loan arrangement.
- 5. Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

Technical Note:

For Ijarah early settlement request, amount of early termination will include all schedule charges that are defined on repayment schedule and are not yet due. These charges will need to be parameterized to become part of early settlement amount.

Commented [AB1]: Manually for Ijarah and automated for Murabaha and Tawarruq

Commented [FUK2R1]: Agreed and updated in FSD

Commented [AB3]: Including the insurance balance.

Commented [FUK4R3]: Yes for all Ijarah cases insurance balance will be part of early settlement amount.

4.4 Partial Settlement

For partial settlement in existing loan facility below process will be followed.

- 1. Initial Request:** Once the customer logs to New Digital (ND) active loan list will be extract from transact from which he will select loan to initiate partial settlement request i.e. Compression / Principal Decrease, along with recalculation method i.e. "Installment / Term" to be followed for repayment schedule recalculation. An API-5(Partial Settlement) will extract simulated repayment schedule which the customer accepts to proceed with transaction.
- 2. Schedule Simulation & Bill Generation:** Upon the submission of partial settlement request, a simulation triggers in transact which extract the simulated repayment schedule, simultaneously Rosom bill for partial settlement amount would be generated having expiry date of one day prior to next installment bill generation date.
- 3. Partial Settlement Initiation & Authorization:** Upon payment of partial settlement amount against the Rosom bill, an OFS will be generated to transfer the funds to customer repayment account through which partial settlement activity triggers and park the transaction in hold status from where TA operations will commit and authorize transaction manually. Accounting entries for partial settlement would be the same as stated in section 6.1.6.1.1 and 6.1.6.2.1 of Tawarruq FSD.
- 4. Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

4.5 Top-up Facility – Tawarruq Only

For top-up facility below process will be followed.

1. **Initial Request:** Once the customer logs in to New Digital (ND) active loan list will be extracted from transact from which he will select Tawarruq loan to initiate top-up facility request. Top-up facility option will only be available for Tawarruq product and requested amount must be greater than early settlement amount of existing loan, these validations need to be managed at ND level. Transact will expose below details to ND through an API-6(Loan Details)
 - Loan ID
 - Outstanding Principal amount
 - Remaining tenor
 - Early Settlement amount (Outstanding principal + current month profit + early settlement fee (subsequent 3 months profit) + overdue amount if any and Minus Repayment Account Working balance)

Upon the successful request submission, ND triggers an API-7(Change Interest) to transact to change profit rate to zero by execute an activity LENDING-CHANGE-INTERESTPROOERTY.

Further another API-8(Default Payment) needs to be provided to ND to check that customer has not defaulted or missed payments in the last X months (defined in policy.) on the same loan arrangement.

2. **Credit Evaluation & Assessment:** If the request meets the eligibility criteria at ND then it will be pushed to Infinity Assist for credit evaluation & assessment as mentioned in Infinity Assist User Story's.

If the case is rejected or declined by credit operations, then an API-9(Reverse Change Interest) will trigger the reversal of change profit rate activity referred in point 1 above. It will trigger the reverse & reply to start accrual of profit.

3. **Offer Generation & Simulation:** Upon the approval of request by credit operations, an offer needs to be shared with customer for which simulated repayment schedule will be created in transact which will return the finance amount, installment amount, APR, first installment date, last installment date and admin fee along with VAT.
4. **Offer Acceptance:** When the customer accepts the offer, the system triggers the purchase request initiation. Upon acceptance of offer LOS will push all relevant information pertaining to creation of IS Contract and AA Arrangement on a template i.e. SMB.DEAL.DETAILS.
5. **Accounting Entries of Commodity Purchase:** Upon successful response of purchase request initiation purchase accounting entries will be initiated.
6. **Contract Generation and Signing:** The customer must complete the contract generation, including signing it electronically via ND system. Contract will be generated on daily basis till the expiry date of offer to sync APR on contract and loan account. There is no impact on offer generation, offer will contain maximum APR. Further there is no change in first instalment date calculation which is based on offer expiry date.

Commented [AB5]: The early Settlement amount should be as on transact which has only the first 3 months full instalment and the remain only principle.

Commented [FUK6R5]: Formula updated in FSD and agreed.

Commented [AB7]: If you mean by this API Qarar system, I think this should be triggered from infinity not ND

Commented [FUK8R7]: Validation from transact for default history against particular request, results will be displayed at ND. Agreed & resolve

7. **Promissory Note Creation and Acceptance:** The customer then accepts the promissory note via the NAFITH system, which is integrated into the workflow.
8. **IVR Authentication:** This step ensures customer authentication through IVR (Interactive Voice Response), which should be completed within 48 hours of contract signing.
9. **Loan Creation and Commodity Sale:** After authentication, the loan is created, and the commodity sale is processed through the IS system. A new arrangement needs to open as Facility Sub-Type as "Top-up Facility". As the creation of top-up loan arrangement is automated process similar as new tawarruq loan, therefore no manual intervention involved.
10. **Closure of Old Loan Arrangement & Cancellation of Contract / Promissory Note:** Once the new loan arrangement is booked old loan contract will be adjusted and closed from the proceed of new loan arrangement by user manually and top-up amount will be transferred to customer banks account by finance team through manual IBFT. While closing the old arrangement, SMB.ACTIVITY.TYPE field will be auto updated to Top-up. An enquiry referred in section 7.8.1 of Tawarruq FSD will be used to extract closed arrangement due to top-up.
Further cancellation of old contract and related promissory note will be executed once the successful closure of old arrangement done.
11. **Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

TOP UP FACILY - TAWARRUQ

Accounting Entries - New Arrangement

PRINCIPAL - ACCOUNT	Debit	
CUSTOMER REPAYMENT A/C		Credit
With outstanding principal & profit of old deal and Top-up amount.		

AA SUSPENSE A/C	-Debit	
CUSTOMER REPAYMENT A/C		-Credit
With top-up amount.		

PROFIT RECEIVABLE - RECDEFPFT	Debit	
DEFERRED PROFIT - ACCDEFPFT		Credit

Accounting Entries - Old Arrangement

CUSTOMER REPAYMENT A/C	Debit	
PRINCIPAL - ACCOUNT		Credit
Principal settlement against new deal principal amount		

CUSTOMER REPAYMENT A/C	Debit	
PROFIT RECEIVABLE - RECDEFPFT		Credit
Profit settlement against new deal principal amount		



Manual IBFT
CUSTOMER A/C
TA – BANK ACCOUNT

Debit

Credit

4.6 Restructure Facility – Tawarruq & Ijarah

Restructuring facility option will be available for Tawarruq, Ijarah & Murabaha product and requested amount must be equal to early settlement amount of existing loan excluding insurance balance to be paid by customer prior to finalizing the restructuring request.

For restructuring of Tawarruq & Ijarah facility below process will be followed. Restructuring of Murabaha loan will be managed through Tawarruq Product.

Restructuring of loan would be allowed either for Principal Only or Principal plus profit as stated in section 6.1.9 of Tawarruq FSD. In case of principal only all remaining amount i.e. profit and charges needs to be paid by customer.

For Tawarruq Product

- 1. Initial Request:** Once the customer logs in to New Digital (ND) active loan list will be extract from transact from which he will select Tawarruq loan to initiate restructuring facility request. Transact will expose below details to ND through an API-6(Loan Details)

- Loan ID
- Outstanding Principal & Profit amount
- Remaining tenor
- Early Settlement amount (Outstanding principal + profit + early settlement fee + Restructuring charge) + overdue amount if any – Repayment A/c. Working Balance)

Upon the successful request submission, ND triggers an API-7(Change Interest) to transact to change profit rate to zero by execute an activity LENDING-CHANGE-INTERESTPROPOERTY.

- 2. Credit Evaluation & Assessment:** If the request meets the eligibility criteria at ND then it will be pushed to Infinity Assist for credit evaluation & assessment as mentioned in Infinity Assist User Story's.

If the case is rejected or declined by credit operations, then an API-9(Reverse Change Interest) will trigger the reversal of change profit rate activity referred in point 1 above. It will trigger the reverse & reply to start accrual of profit.

- 3. Offer Generation & Simulation:** Upon the approval of request by credit operations, an offer needs to be shared with customer for which simulated repayment schedule will be created in transact which will return the finance amount, installment amount, APR, first installment date, last installment date and admin fee along with VAT.
- 4. Offer Acceptance:** When the customer accepts the offer, the system triggers the purchase request initiation. Upon acceptance of offer LOS will push all relevant information pertaining to creation of IS Contract and AA Arrangement on a template
- 5. Accounting Entries of Commodity Purchase:** Upon successful response of purchase request initiation purchase accounting entries will be initiated by considering.
- 6. Contract Generation and Signing:** The customer must complete the contract generation, including signing it electronically via ND system. Contract will be generated on daily basis till the expiry date of offer to sync APR on contract and loan account. There is no impact on offer generation, offer will contain maximum APR. Further there is no change in first instalment date calculation which is based on offer expiry date.

Commented [FUK9]: Basis of calculation to be shared by TA.

Commented [FUK10R9]: It will be calculated on the principal amount of new loan arrangement.

Commented [AB11]: Refer to the previous comment

7. **Promissory Note Creation and Acceptance:** The customer then accepts the promissory note via the NAFITH system, which is integrated into the workflow.
8. **IVR Authentication:** This step ensures customer authentication through IVR (Interactive Voice Response), which should be completed within 48 hours of contract signing.
9. **Loan Creation and Commodity Sale:** After authentication, the loan is created, and the commodity sale is processed through the IS system. A new arrangement needs to open as Facility Sub-Type as "Restructure Facility". As the creation of restructure loan arrangement is automated process similar as new tawarruq loan, therefore no manual intervention involved.
10. **Closure of Old Loan Arrangement & Cancellation of Contract / Promissory Note:** Once the new loan arrangement is booked old loan contract will be adjusted and closed from the proceed of new loan arrangement by user manually. Further cancellation of old contract and related promissory note will be executed simultaneously. While closing the old arrangement, SMB.ACTIVITY.TYPE field will be auto updated to Restructure. An enquiry referred in section 7.8.1 of Tawarruq FSD will be used to extract closed arrangement due to restructure.
Further cancellation of old contract and related promissory note will be executed once the successful closure of old arrangement done.
11. **Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

For Ijarah Product

1. **Initial Request:** Once the customer logs to New Digital (ND) active loan list will be extract from transact from which he will select Ijarah loan to initiate restructuring facility request. Transact will expose below details to ND through an API-6(Loan Details)
 - Loan ID
 - Outstanding Principal & Profit amount
 - Remaining tenor
 - Early Settlement amount net off insurance balance (Outstanding principal + profit early settlement fee + Restructuring charge + overdue amount – excess insurance balance for ijarah if any + Future dated schedule charges such as Traffic Violation)

Upon the successful request submission, ND triggers an API-7(Change Interest) to transact to change profit rate to zero by execute an activity LENDING-CHANGE-INTERESTPROPOERTY.
2. **Credit Evaluation & Assessment:** If the request meets the eligibility criteria at ND then it will be pushed to Infinity Assist for credit evaluation & assessment as mentioned in Infinity Assist User Story's.
If the case is rejected or declined by credit operations, then an API-9(Reverse Change Interest) will trigger the reversal of change profit rate activity referred in point 1 above. It will trigger the reverse & reply to start accrual of profit.
3. **Offer Generation & Simulation:** Upon the approval of request by credit operations, an offer needs to be shared with customer for which simulated repayment schedule will be

Commented [FUK12]: Basis of calculation to be shared by TA.

Commented [FUK13]: TA to confirm to make this amount as part of restructure deal principal.

Commented [FUK14R13]: Agreed it will be marked as fee and part of restructuring amount.

Commented [AB15]: Insurance quotation should be before the offering in order to calculate the new EMI

Commented [FUK16R15]: It would be part of Infinity journey to get insurance quote

created in transact which will return the finance amount, installment amount, APR, first installment date, last installment date, monthly insurance and admin fee along with VAT.

4. **Offer Acceptance:** When the customer accepts the offer, the system triggers Rosom bill generation for Admin Fee plus VAT amount. Upon acceptance of offer LOS will push all relevant information pertaining to creation of IS Contract and AA Arrangement on a template i.e. SMB.DEAL.DETAILS. A validation for sufficient fund as defined in WS03-IJR-03-02 will be triggered prior to contract generation. Registration & Green card details to be fetched from old loan arrangement.
5. **Contract Generation and Signing:** The customer must complete the contract generation, including signing it electronically via ND system. Contract will be generated on daily basis till the expiry date of offer to sync APR on contract and loan account. There is no impact on offer generation, offer will contain maximum APR. Further there is no change in first instalment date calculation which is based on offer expiry date.
6. **Promissory Note Creation and Acceptance:** The customer then accepts the promissory note via the NAFITH system, which is integrated into the workflow.
7. **IVR Authentication:** This step ensures customer authentication through IVR (Interactive Voice Response), which should be completed within 48 hours of contract signing.
8. **Insurance Quote Approve:** After IVR authentication insurance quote approval will be initiated.
9. **Assets Capture (Auto in Transact):** Asset capture will be initiated upon successful response of Insurance Quote Approve, it extract assets details from SMB.DEAL.DETAILS template. Assets capture record will also carry Green Card details.
10. **IS Contract Generation (Auto in Transact):** Once assets capture step is completed, IS contract process will be initiated by extracting the details for SMB.DEAL.DETAILS template. Upon the completion of IS contract process, an OFS will be generated to transfer the funds in vendor payable by debiting multi supplier and crediting vendor payable account. Then another OFS will be generated based on SMB.ACTIVITY.TYPE status by debiting multi supplier and crediting internal account i.e. Restructuring – Settlement.
11. **Insurance Template (Auto in Transact):** Upon successful completion of IS Contract insurance template as stated in Section 8.6 of Ijarah FSD document will be created.
12. **Amend IS Contract (Manual):** Once the insurance process is completed, user will manually incorporate the details in IS contract by amend the IS contract details as stated in Section 8.1 of Ijarah FSD document.
13. **Finance Arrangement – Delivery (Manual):** Once the amendment of IS Contract activities are completed user will manually create the Finance Arrangement with minimal inputs as some details will be auto fetch from IS Contract and SMB.DEAL.DETAILS. Repayment Schedule with APR effective from delivery date will be generated on the same stage. User needs to review this repayment schedule with the old arrangement repayment schedule before authorization of new loan arrangement. From the same date the accrual of profit will start, during EOD process. A new arrangement needs to open as Facility Sub-Type as “Restructure Facility”.
14. **Closure of Old Loan Arrangement & Cancellation of Contract / Promissory Note:** Once the new loan arrangement is booked old loan contract will be adjusted and closed from the proceed of new loan arrangement by user manually. Cancellation of insurance for old

Commented [AB17]: Remaining of principle from old contract will be the asset price in the new contract

Commented [FUK18R17]: It should be equivalent to settlement amount of old loan arrangement

Commented [AB19]: Based on the asset price (remain of the principle) with the depreciation percentage

Commented [FUK20R19]: It should be settlement amount of previous loan arrangement.

arrangement will be executed once successful closure of old arrangement is done. Further cancellation of old contract and related promissory note will be executed simultaneously. While closing the old arrangement, SMB.ACTIVITY.TYPE field will be auto updated to Restructure. An enquiry referred in section 7.8.1 of Tawarruq FSD will be used to extract closed arrangement due to restructure.

Further cancellation of old contract and related promissory note will be executed once the successful closure of old arrangement done.

12. Transact SMS Notification: Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

RESTRUCTURE WITH EQUITY PLUS PROFIT

Accounting Entries - New Arrangement

PRINCIPAL - ACCOUNT	Debit	
CUSTOMER REPAYMENT A/C		Credit
With outstanding principal and profit of old deal		

PROFIT RECEIVABLE - RECDEFPFT	Debit	
DEFERRED PROFIT - ACCDEFPFT		Credit

Accounting Entries - Old Arrangement

CUSTOMER REPAYMENT A/C	Debit	
PRINCIPAL - ACCOUNT		Credit
Principal settlement against new deal principal amount		

CUSTOMER REPAYMENT A/C	Debit	
PROFIT RECEIVABLE - RECDEFPFT		Credit
Profit settlement against new deal principal amount		

Commented [FUK21]: Do we expect any amount recovery from insurance company for early cancellation of policy?

Commented [FUK22R21]: No recovery on insurance cancellation.

4.7 Loan Transfer Facility – Ijarah Only

For Loan transfer facility below process will be followed. Any overdue amount and insurance balance payable by customer should be recovered as pre-requisite for initiation of loan transfer request.

1. Initial Request: Once the customer logs to New Digital (ND) active loan list will be extract from transact from which he will select Ijarah loan to initiate loan transfer facility request. Transact will expose below details to ND through an API-6(Loan Details)

- Contract Number
- Down Payment
- Financing Amount
- Number of Installments Paid
- Remaining Principal Balance.
- Early Settlement amount net off insurance balance (Outstanding principal + profit +early settlement fee + overdue amount – excess insurance balance if any+ Future dated schedule charges such as Traffic Violation)

Upon the successful request submission, ND triggers an API-7(Change Interest) to transact to change profit rate to zero by execute an activity LENDING-CHANGE-INTERESTPROOERTY.

2. Credit Evaluation & Assessment: If the request meets the eligibility criteria at ND then it will be pushed to Infinity Assist for credit evaluation & assessment as mentioned in Infinity Assist User Story's.

If the case is rejected or declined by credit operations, then an API-9(Reverse Change Interest) will trigger the reversal of change profit rate activity referred in point 1 above. It will trigger the reverse & reply to start accrual of profit.

3. Offer Generation & Simulation: Upon the approval of request by credit operations, an offer needs to be shared with customer for which simulated repayment schedule will be created in transact which will return the finance amount, installment amount, APR, first installment date, last installment date, monthly insurance and admin fee along with VAT.

4. Offer Acceptance: When the customer accepts the offer, the system triggers CIF creation and repayment account will be created of new customer and Rosom bill generated for Admin Fee plus VAT amount, there will be no down payment in case of loan transfer. Upon acceptance of offer LOS will push all relevant information pertaining to creation of IS Contract and AA Arrangement on a template i.e. SMB.DEAL.DETAILS. A validation for sufficient fund as defined in WS03-IJR-03-02 will be triggered prior to contract generation. Registration & Green card details to be fetched from old loan arrangement.

5. Contract Generation and Signing: The customer must complete the contract generation, including signing it electronically via ND system. Contract will be generated on daily basis till the expiry date of offer to sync APR on contract and loan account. There is no impact on offer generation, offer will contain maximum APR. Further there is no change in first instalment date calculation which is based on offer expiry date.

Commented [FUK23]: TA to confirm to make this amount as part of loan transfer deal principal.

Commented [FUK24R23]: Agreed

Commented [AB25]: Insurance quotation should be before the offering in order to calculate the new EMI

Commented [FUK26R25]: Agreed as per previous

Commented [AB27]: Remaining of principle from old contract will be the asset price in the new contract

Commented [FUK28R27]: Agreed as per previous

6. **Promissory Note Creation and Acceptance:** The customer then accepts the promissory note via the NAFITH system, which is integrated into the workflow.
7. **IVR Authentication:** This step ensures customer authentication through IVR (Interactive Voice Response), which should be completed within 48 hours of contract signing.
8. **Insurance Quote Approve:** After IVR authentication insurance quote approval will be initiated.
9. **Assets Capture (Auto in Transact):** Asset capture will be initiated upon successful response of Insurance Quote Approve, it extract assets details from SMB.DEAL.DETAILS template. Assets capture record will also carry Green Card details.
10. **IS Contract Generation (Auto in Transact):** Once assets capture step is completed, IS contract process will be initiated by extracting the details for SMB.DEAL.DETAILS template. Upon the completion of IS contract process, an OFS will be generated to transfer the funds in vendor payable by debiting multi supplier and crediting vendor payable account. Then another OFS will be generated based on SMB.ACTIVITY.TYPE status by debiting multi supplier and crediting internal account i.e. Loan Transfer – Settlement.
11. **Insurance Template (Auto in Transact):** Upon successful completion of IS Contract insurance template as stated in Section 8.6 of Ijarah FSD document will be created.
12. **Amend IS Contract (Manual):** Once the insurance process is completed, user will manually incorporate the details in IS contract by amend the IS contract details as stated in Section 8.1 of Ijarah FSD document. Istimara details needs to be updated by user.
13. **Finance Arrangement – Delivery (Manual):** Once the amendment of IS Contract activities are completed user will manually create the Finance Arrangement with minimal inputs as some details will be auto fetch from IS Contract and SMB.DEAL.DETAILS. Repayment Schedule with APR effective from delivery date will be generated on the same stage. User needs to review this repayment schedule with the old arrangement repayment schedule before authorization of new loan arrangement. From the same date the accrual of profit will start, during EOD process. A new arrangement needs to open as Facility Sub-Type as “Loan Transfer Facility”.
14. **Closure of Old Loan Arrangement & Cancellation of Contract / Promissory Note:** Once the new loan arrangement is booked old loan contract will be adjusted and closed from the proceed of new loan arrangement by user manually. Cancellation of insurance for old arrangement will be executed once successful closure of old arrangement is done. Further cancellation of old contract and related promissory note will be executed simultaneously. While closing the old arrangement, SMB.ACTIVITY.TYPE field will be auto updated to Restructure. An enquiry referred in section 7.8.1 of Tawarruq FSD will be used to extract closed arrangement due to restructure.

Further cancellation of old contract and related promissory note will be executed once the successful closure of old arrangement done.
15. **Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

Commented [AB29]: Based on the asset price (remain of the principle) with the depreciation percentage

Commented [FUK30R29]: Agreed as per previous

Commented [FUK31]: Do we expect any amount recovery from insurance company for early cancellation of policy?

Commented [FUK32R31]: Agreed as per previous

LOAN TRANSFER

Accounting Entries - New Arrangement

PRINCIPAL - ACCOUNT

CUSTOMER REPAYMENT A/C

With outstanding principal and profit of old deal

Debit

Credit

PROFIT RECEIVABLE - RECDEFPFT

DEFERRED PROFIT - ACCDEFPFT

Debit

Credit

Accounting Entries - Old Arrangement

CUSTOMER REPAYMENT A/C

PRINCIPAL - ACCOUNT

Principal settlement against new deal principal amount

Debit

Credit

CUSTOMER REPAYMENT A/C

PROFIT RECEIVABLE - RECDEFPFT

Profit settlement against new deal principal amount

Debit

Credit

4.8 Buy-Out Facility – Tawarruq Only

For buy-out facility below process will be followed.

1. **Initial Request:** Once the customer logs in to New Digital (ND) and request for Buy-out facility a validation needs to be run to check the active loan of customer exist or not, buy-out facility is only allowed to existing customer having active loans. An API-10(Active Loans) will be expose to ND by transact for active loans. Buy-out facility option will only be available for Tawarruq product and requested amount must be equal to loan amount of other financial institution, these validations need to be managed at ND level.
2. **Credit Evaluation & Assessment:** If the request meets the eligibility criteria at ND then it will be pushed to Infinity Assist for credit evaluation & assessment as mentioned in Infinity Assist User Story's.
3. **Offer Generation & Simulation:** Upon the approval of request by credit operations, an offer needs to be shared with customer for which simulated repayment schedule will be created in transact which will return the finance amount, installment amount, APR, first installment date, last installment date and admin fee along with VAT.
4. **Offer Acceptance:** When the customer accepts the offer, the system triggers the purchase request initiation. Upon acceptance of offer LOS will push all relevant information pertaining to creation of IS Contract and AA Arrangement on a template i.e. SMB.DEAL.DETAILS. Two local ref needs to be updated in this template with customer existing bank name and IBAN details.
5. **Accounting Entries of Commodity Purchase:** Upon successful response of purchase request initiation purchase accounting entries will be initiated.
6. **Contract Generation and Signing:** The customer must complete the contract generation, including signing it electronically via ND system. Contract will be generated on daily basis till the expiry date of offer to sync APR on contract and loan account. There is no impact on offer generation, offer will contain maximum APR. Further there is no change in first instalment date calculation which is based on offer expiry date.
7. **Promissory Note Creation and Acceptance:** The customer then accepts the promissory note via the NAFITH system, which is integrated into the workflow.
8. **IVR Authentication:** This step ensures customer authentication through IVR (Interactive Voice Response), which should be completed within 48 hours of contract signing.
9. **Loan Creation and Commodity Sale:** After authentication, the loan is created, and the commodity sale is processed through the IS system. Buy-out amount will be transferred to customer banks account by finance team through manual IBFT. A new arrangement needs to open as Facility Sub-Type as "Buy-Out Facility".

10. Transact SMS Notification: Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

BUY-OUT FACILY - TAWARRUQ

Accounting Entries - New Arrangement

PRINCIPAL - ACCOUNT	Debit	
AA SUSPENSE A/C		Credit

AA SUSPENSE A/C	Debit	
CUSTOMER A/C		Credit

With buy-out amount.

PROFIT RECEIVABLE - RECDEFPFT	Debit	
DEFERRED PROFIT - ACCDEFPFT		Credit

Manual IBFT

CUSTOMER A/C	Debit	
TA – BANK ACCOUNT		Credit

4.9 Cancellation – Post Disbursement

For cancellation of loan during cooling period i.e. 10 days from the date of disbursement below process will be followed.

- 1. Initial Request:** Once the customer logs to New Digital (ND) active loan list will be extract from transact from which he will select loan to initiate cancellation request. An API-11(Cancellation) will extract cancellation settlement amount upon submission of request. A validation needs to be maintained at ND level that cancellation option will only be appear against those loan which are under cooling period. Further an evaluation needs to be done at ND level that funds disbursed was not utilized by customer thus he requests for cancellation of loan.
- 2. Payoff Simulation & Bill Generation:** Upon the submission of cancellation request, a simulation triggers in transact which extract the cancellation amount, simultaneously Rosom bill for cancellation amount would be generated having same day expiry date.
- 3. Early Payoff Initiation & Authorization:** Upon payment of cancellation amount against the Rosom bill, an OFS will be generated to transfer the funds to customer repayment account through which early payoff initiation triggers and park the transaction in hold status from where TA operations will commit and authorize transaction manually. Accounting entries for early settlement would be the same as stated in section 6.1.1.1 of Tawarruq FSD.
- 4. Cancellation of Contract / Promissory Note:** Once early settlement transaction is successfully authorized then cancellation of contract and related promissory note will be executed accordingly for payoff loan arrangement.
- 5. Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.

4.10 Ad-Hoc Charges

FT.COMMISSION.TYPE application to be used to configure each charge with specific name/code. Respective PL category will be configured against each charge along with transaction code. For recovery of ad-hoc charges AC.CHARGE.REQUEST will be used to debit customer account and credit respective charge code. Below steps to be followed for recovery of ad-hoc charges.

- 1. Initial Request:** Once the customer logs in to New Digital (ND) and select which service transaction to perform such as Sale Doc, Add Actual Driver, Registration Renewal, Complete list of these charges is attached as Day2-Ijarah Charge List in Ijarah Working Sheet. Customer also need to incorporate application ID / arrangement reference against which respective service request is initiated. An eligibility check needs to be configured at ND level with respect to acceptance or rejection of request, only accepted request being pushed to transact through an API-12(Ad-Hoc Charge) and SMS notification will be generated for acceptance of request.
- 2. Rosom Bill Generation:** Upon the submission of request, Rosom bill for respective charge amount would be generated having expiry of 24 hours. SMS notification will be generated for Rosom bill. Request being cancelled if customer fails to pay the Rosom bill within stipulated time.
- 3. Payment of Rosom Bill & Charge Recognition:** Once Rosom bill is paid and notification received from Rosom for bill settlement, then an OFS will be generated to transfer the funds to customer repayment account through which charge recovery will be made using AC.REQUEST.CHARGE application by debiting customer repayment account and crediting respective PL category configured against respective charge code via FT.CHARGE.TYPE or FT.COMMISSION.TYPE application.
- 4. Transact SMS Notification:** Customer Notification to be generated in Transact in Notification Audit table for the completion of transaction.